

2.3 Unit content

2.3.1 How do we measure the economic performance of developed and developing countries?

What students need to learn:

Content	Students should be able to:	Additional guidance notes
Economic growth	Understand how economic growth is measured and its limitations, for example: ■ the inadequacy of economic growth measurement as a measure of standards of living ■ problems of comparison between developed and developing countries.	An understanding of the following distinctions is required: ■ nominal and real ■ total and per capita ■ volume and value. Students are not expected to have detailed knowledge of GDP calculations or the GDP deflator.
Inflation	Understand the process of calculating the rate of inflation in the UK. Understand the significance of the measure.	Increases in the cost of living are measured using an index based on a weighted basket of goods and services. A price survey and a family expenditure survey are used. Students are expected to be able to assess the main measure of inflation currently used as a target in the UK.

Content	Students should be able to:	Additional guidance notes
Employment and unemployment	Understand how unemployment is measured in the UK. Understand the types and costs of unemployment. Understand the significance of changes in the rates of employment and unemployment.	An understanding of measures to measure unemployment such as the claimant count and International Labour Organisation (ILO) measures is required. The significance of migration for employment and unemployment should be considered.
Balance of Payments	Understand the meaning of Balance of Payments deficits and surpluses on the current account. Understand the causes and costs of an imbalance in the current account, at a basic level.	For this unit, emphasis will be on the current account of the Balance of Payments and, in particular, on the balance in trade in goods and services.
Measures of development — Human Development Index (HDI)	Understand the advantages and limitations of HDI in making comparisons of living standards between countries.	Students should know the three components of HDI and should to be able to interpret HDI data. A definition of Purchasing Power Parities (PPPs) is helpful. Students are not expected to know how HDI is calculated, such as the mechanics of PPPs.

Content	Students should be able to:	Additional guidance notes
Other measures of development	Interpret and use other measures of development. For example: ■ the percentage of adult male labour in agriculture ■ combined primary and secondary school enrolment figures ■ access to clean water; energy consumption per capita ■ access to mobile phones per thousand of the population.	Students are not expected to know specific figures for various countries but may have to make comparisons between data provided for various countries.

2.3.2 Is income the same as wealth?

What students need to learn:

Content	Students should be able to:	Additional guidance notes
National income	Understand that national income can be shown as a circular flow.	Students might find it helpful to draw a simple diagram of the circular flow of income.
Income and wealth	Understand the likely correlation between income and wealth.	Wealth may be considered as a stock concept, while income is a flow.
Injections and withdrawals	Analyse the impact of injections and withdrawals on the circular flow. For example, an increase in investment may increase the spending in an economy as well as productive capacity.	Students are not expected to have knowledge of the accelerator.

2.3.3 What is aggregate demand (AD)?

What students need to learn:

Content	Students should be able to:	Additional guidance notes
The components of AD: $C + I + G + (X - M)$	Understand the factors influencing the components of AD.	Students should understand the relative importance of these components, for example consumption comprises approximately 65 per cent of AD.
Consumption (C)	Understand the main influences on consumer spending, for example: interest rates; consumer confidence; wealth effects. Understand how changes in house prices may affect consumer spending.	Recognition of the importance of consumption as a component of AD should be used as an evaluative tool.
Investment (I)	Understand the main influences on investment, for example: interest rates; confidence levels; risk; the influence of government and regulations.	The accelerator effect and Marginal Efficiency of Capital theory are not required.
Government expenditure (G)	Understand the main influences on government spending, for example the deliberate manipulation of the economy through fiscal policy.	Students should understand that the budget does not have to balance in the short run, and be able to assess the impact of an imbalance on the flow of income.

Content	Students should be able to:	Additional guidance notes
Exports — Imports (X-M)	Understand the impact on the current account of factors including: ■ a change in the exchange rate ■ changes in the state of the world economy ■ non-price factors.	Evaluation of these influences is required, for example: ■ the change in the exchange rate might have opposite effects in the short and long run ■ a stronger currency makes exports relatively uncompetitive and imports relatively cheap. This decreases AD as value of X falls and value of M rises. However: ■ the price elasticity of demand for exports and imports may be very low meaning the stronger currency worsens the current account in the short run. Students are not expected to have knowledge of the Marshall-Lerner condition or J-curve analysis.
Movements along and shifts of the AD curve	Understand why AD slopes downwards. Show the relevant shifts in the AD curve when one of the components change.	Students should distinguish between levels of the components and the changes in components. For example, falls in the rate of investment may mean that AD rises more slowly.

2.3.4 What is aggregate supply (AS)?

What students need to learn:

Content	Students should be able to:	Additional guidance notes
Aggregate Supply (AS)	Understand the factors influencing the amount that firms are willing to supply at various prices, for example the costs of production, the level of investment, availability of factors of production.	Students should be able to illustrate spare capacity in an economy. Credit will be given for both Keynesian and classical approaches to AS, but this distinction will not be expected.
Movements along and shifts of the AS curve	Explain factors that might cause a shift in AS. Factors might include: changing costs of raw materials; a change in the level of international trade or exchange rates; technological advances; relative productivity changes; education and skills changes; regulation changes.	Students should be able to show the relevant shifts in the AS curve.

2.3.5 What determines the price level and equilibrium level of real output?

What students need to learn:

Content	Students should be able to:	Additional guidance notes
Equilibrium level of output	Understand the concept of equilibrium real national output.	The ability to apply the AD/AS model to real-world situations will be expected.
The multiplier	Explain the size of the multiplier, using the concept of the marginal propensity to consume; apply the multiplier to shifts in AD.	Students should be able to explain the impact on the economy of the multiplier. Evaluation points include the difficulty of measuring it; the time it takes to come into full effect and size of leakages. Calculations using the multiplier formula will not be required.

2.3.6 What are the causes, costs and constraints on economic growth?

What students need to learn:

Content	Students should be able to:	Additional guidance notes
Actual and potential growth	Identify trends in growth rate; sustainable growth; understand output gaps in developed economies.	Changes in the level of GDP should be distinguished from changes in the rate of growth of GDP, for example, the level of GDP still rises when an economy grows at a slower rate, as long as growth is positive. Students will not be expected to know specific numerical information for various countries.

Content	Students should be able to:	Additional guidance notes
Causes and constraints on growth	Explain the significance of factors such as investment or innovation; constraints may be in terms of absence of capital markets or instability of government.	Students should consider some of the following, for example: ■ impact of migration ■ impact of changes in birth rates ■ export-led growth. Students should understand changes in injections and leakages affect changes in the flow of income.
Benefits of growth	Understand the benefits of growth to citizens of increased standards of living, to firms (increased profits) and to government (for example, increasing tax revenues).	Students may consider whether an increase in income necessarily increases living standards.
Costs of growth	Understand the adverse consequences of growth for the environment; Balance of Payment problems; income distribution and the opportunity cost of growth.	Evaluation might consider whether the benefits or costs are greater, the difficulties of measurement and the changes over time.

2.3.7 What are the macroeconomic objectives of governments? Do they conflict?

What students need to learn:

Content	Students should be able to:	Additional guidance notes
Current macroeconomic objectives	Identify, outline and evaluate the major current macroeconomic objectives.	Objectives may include increased economic growth; control of inflation; a reduction in unemployment; restoration of equilibrium in the Balance of Payments; making the distribution of income more equal; and protection of the environment.
Conflicts between objectives	Consider basic conflicts between objectives, such as inflation and unemployment; or economic growth and sustainability.	Possible trade offs include those between inflation and unemployment; growth and sustainability; inflation and equilibrium on the current account of the Balance of Payments. Students should understand the short run Phillips curve, but the long run and expectations augmentation are not required.

2.3.8 What are the main macroeconomic policy instruments?

What students need to learn:

Content	Students should be able to:	Additional guidance notes
Demand-side policies	Understand the practical application of monetary and fiscal policy, for example inflation targeting; the role of the Bank of England's Monetary Policy Committee; the impact of budget deficits on aggregate demand.	A diagrammatic treatment is required, using AD/AS analysis. Students require knowledge of how the Bank of England's Monetary Policy Committee in the UK operates; the factors it takes into consideration when making its decisions; the problems in determining the magnitude of the effects of these policies.
Supply-side policies	Identify measures that are used to increase the productivity of factors, such as education and training; measures to increase incentives, such as changing the levels of benefits; cutting the costs of bureaucracy in firms.	A diagrammatic treatment is required, using AD/AS analysis. The difficulty in operating supply-side policies without an impact on aggregate demand is a useful tool for evaluation. Students need to know the problems in determining the magnitude of the effects of these policies.

2.3.9 Do macroeconomic policies conflict when they are used together?

What students need to learn:

Content	Students should be able to:	Additional guidance notes
Conflicts resulting from the use of policy instruments	Understand that the use of one macroeconomic policy can outweigh the impact of another, for example: ■ conflicts between fiscal and supply-side policies ■ the impact of fiscal policy which might have inflationary effects in the short run but may be deflationary in the long run ■ use of fiscal policy to incorporate environmental goals, for example using 'green taxes' ■ impact of a change in interest rates on the distribution of income.	Evaluation in this section might include the difficulty in measuring the conflicts in the short and long term, or the importance of the prioritisation of policies. Students may consider whether policy instruments may affect other variables in the economy, and consider the consequences for aggregate demand and supply, for example: ■ the interest rate may influence the exchange rate and impact upon competitiveness ■ the level of government spending might affect the amount of money in the economy which may influence the interest rate.